

■ FORM 4 INSIDER CLUSTER STRATEGY

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Executive Summary

Strategy	Form 4 Insider Clusters
Capital Allocation	\$1,000.00
Positions Selected	3
Total Allocated	\$905.33
Cash Remaining	\$94.67
Lookback Period	100 days
Min Confidence	65%

Selected Positions

#1. SION - Sionna Therapeutics, Inc.

Sector	Healthcare
Market Cap	\$1891M
Price	\$42.37
Insider Signals	6 signals (Quality: 2.0/3.0)
Signal Breakdown	Politicians: 0, Directors: 6, Officers: 0
Institutional Validation	STRONG INSTITUTIONAL SUPPORT
Confidence	108.0% (adjusted from 90.0%)
Position Size	7 shares = \$296.59
Hold Period	14 days

Analysis:

CONSENSUS: Six directors (high-quality insiders) made coordinated buys within the last 3 days, showing genuine confidence despite a 4.8% price drop since their entries, indicating a timely opportunity with strong signal quality.

■ Institutional Validation:

■ INSTITUTIONAL VALIDATION: STRONG INSTITUTIONAL SUPPORT

■ INSTITUTIONS BUYING (5):

- VANGUARD GROUP INC: +81.4% increase (512,803 shares added)
- JENNISON ASSOCIATES LLC: +32.5% increase (244,575 shares added)
- BlackRock, Inc.: +32.6% increase (207,501 shares added)

■■ INSTITUTIONS SELLING (4):

- JPMORGAN CHASE & CO: -10.9% decrease (242,562 shares removed)
- PRICE T ROWE ASSOCIATES INC /MD/: -25.9% decrease (223,478 shares removed)

■ CONFIDENCE BOOST: +20%

■ **Bull Case:** Directors' collective buying at a dip suggests belief in underlying value, supported by recent positive news including conference presentations and investor engagement, potentially driving momentum in the biotechnology sector.

■ **Bear Case:** Despite strong insider buying, the biotechnology sector carries inherent risks, including clinical trial failures, regulatory setbacks, and intense competition. The stock recently reaching a new 1-year high could also mean it's due for a correction or profit-taking. Insider buying, while a strong indicator, does not guarantee future stock performance, and broader market downturns could still impact the stock.

#2. DDOG - Datadog, Inc.

Sector	Technology
Market Cap	\$49230M
Price	\$140.39
Insider Signals	7 signals (Quality: 2.0/3.0)
Signal Breakdown	Politicians: 0, Directors: 7, Officers: 0
Institutional Validation	STRONG INSTITUTIONAL SUPPORT
Confidence	105.0% (adjusted from 87.5%)
Position Size	2 shares = \$280.78
Hold Period	14 days

Analysis:

DeepSeek: After reviewing Gemini's analysis, the signal strength is enhanced by coordinated purchases from seven directors within 5 days at unchanged prices, indicating high-quality insider confidence without promotional intent from officers. However, the absence of politician involvement and quiet period risks temper the overall confidence slightly. | Gemini: DeepSeek's analysis strongly corroborates the high-quality insider signal: coordinated purchases from seven directors within 5 days at unchanged prices. This indicates genuine confidence without promotional intent. While politician involvement would be the highest quality, directors are a strong second tier, and the coordination significantly amplifies the signal, justifying the high confidence.

■ **Institutional Validation:**

■ INSTITUTIONAL VALIDATION: STRONG INSTITUTIONAL SUPPORT

■ INSTITUTIONS BUYING (9):

- VANGUARD GROUP INC: +30.3% increase (9,748,738 shares added)
- BlackRock, Inc.: +31.4% increase (6,503,193 shares added)
- FMR LLC: +51.2% increase (5,532,581 shares added)

■■ INSTITUTIONS SELLING (4):

- BROWN ADVISORY INC: -20.2% decrease (1,210,913 shares removed)

• GROUPAMA ASSET MANAGEMENT: -30.7% decrease (2,029,477 shares removed)

■ CONFIDENCE BOOST: +20%

■ **Bull Case:** Directors' collective buying reflects deep insight into DDOG's positive trajectory, suggesting potential stock appreciation as market sentiment aligns with insider optimism, especially given entry at current prices. // The collective and coordinated buying by a significant number of directors at current prices suggests deep conviction in DDOG's near-term positive trajectory. This strong insider optimism, free from promotional officer intent, is a powerful indicator for potential stock appreciation as the market recognizes the underlying value.

■ **Bear Case:** Directors may misjudge company prospects; macroeconomic headwinds or the quiet period could limit near-term catalysts, leading to volatility or stalled price movement. // The absence of politician involvement means it's not the absolute highest tier of insider signal. Additionally, potential quiet period risks could introduce volatility or delay the market's reaction to these insider signals, making the short-term price action less predictable.

#3. HLIO - Helios Technologies, Inc.

Sector	Industrials
Market Cap	\$1811M
Price	\$54.66
Insider Signals	6 signals (Quality: 2.0/3.0)
Signal Breakdown	Politicians: 0, Directors: 6, Officers: 0
Institutional Validation	STRONG INSTITUTIONAL SUPPORT
Confidence	105.0% (adjusted from 87.5%)
Position Size	6 shares = \$327.96
Hold Period	14 days

Analysis:

CONSENSUS: Strong coordinated buying by 6 directors (high-quality signals, no promotional concerns from officers), trades are very timely (<7 days) with no price movement, indicating opportunity before potential market reaction.

■ Institutional Validation:

■ INSTITUTIONAL VALIDATION: STRONG INSTITUTIONAL SUPPORT

■ INSTITUTIONS BUYING (6):

- THRIVENT FINANCIAL FOR LUTHERANS: +7.9% increase (112,213 shares added)
- WASATCH ADVISORS LP: +5.4% increase (43,567 shares added)
- T. Rowe Price Investment Management, Inc.: +17.0% increase (123,181 shares added)

■ INSTITUTIONS SELLING (5):

- Conestoga Capital Advisors, LLC: -15.1% decrease (294,362 shares removed)
- BARROW HANLEY MEWHINNEY & STRAUSS LLC: -7.6% decrease (95,744 shares removed)

■ CONFIDENCE BOOST: +20%

■ **Bull Case:** Directors' collective buying suggests confidence in undervaluation or positive catalysts, supported by new product launches and a 116-quarter dividend history reflecting financial stability. The industrial machinery sector may benefit from infrastructure trends.

■ **Bear Case:** Despite strong insider confidence, broader market downturns or sector-specific headwinds could still impact HLIO. While Directors are highly informed, their outlook might not materialize as expected, or

unforeseen negative events could occur. The industrial sector can be cyclical, and future economic slowdowns could affect demand for their products.

■ Trading Instructions

1. **MANUAL APPROVAL REQUIRED** - Review each position carefully
2. Approve or reject each position when prompted
3. Only approved positions will be eligible for trading
4. Place limit orders at market price or better for approved positions
5. Set calendar reminders for hold period expiration
6. Monitor insider activity weekly for changes
7. Rebalance next Sunday based on new Form 4 clusters